AUDIT AND ASSURANCE
Suggested Answers
March-April 2022

Answer to the Question# 1 (a) (i):

D & Co., Chartered Accountants and Newborn Limited
The assurance team's independence may be threatened if a director or other senior employee at the D's office is employed by Newborn Limited. There may be self-interest, familiarity, and intimidation threats, particularly if close connections remain between the individual and the assurance firm. Such treats include:
i. Self-interest threats - This arises when the accountant or the audit firm had a financial interest or other interest in a matter. Typically, this means that the accountant's decisions may be influenced by self-interest and the accountant will therefore not act with objectivity and independence.
ii. Self-review threats - This occurs when an accountant is required to review or re-evaluate (for a different purpose) a previous judgment he had made or action that he had taken. Self-review threats can also apply to audit firms. For example, if an audit firm prepared the financial statements for a client and then acted as auditor, it would be reviewing its own work and would be reluctant to criticise or question it. This would be a threat to objectivity and independence.
iii. Advocacy threats - This occurs when the accountant is in a position where he is expected to defend or justify the position of the client, and act as an 'advocate' for the client's point of view. This would be a threat to objectivity and independence;
iv. Intimidation threats - This occurs when the accountant is deterred from acting with objectivity due to threats against him or his firm. This may be a threat by the client to terminate the auditor's appointment, unless it agrees with the point of view of the client management; and
v. Familiarity threats - This occurs when the accountant becomes too sympathetic to the client's position due to close relationships. For example this may occur due to a long association over many years in carrying out the annual audit. However, it may be possible to reduce the threat with safeguards, such as involving an independent third party to review the audit file. In respect of audit clients, a key audit partner should not accept key management position from their clients until at least two years after the conclusion of the audit. Self-interest threats may also arise if a member of the assurance team has reason to believe that they might soon be employed by the assurance client.

Answer to the Question# 1 (a) (ii):

XYZ &Co. Chartered Accountant and Kate Limited
The points to note are as follows:
i. Independence threats; ii. Objectivity threats; iii. Use of separate audit team; iv. Use of separate departments in the audit firm; v. New engagement letter; and vi. Ensure no management decision is taken by the auditors.
Appropriate safeguards to be put in place are as follows:
i. Dividing the work of the audit firm into different functions. Employees involved in audit work should not be the same as those involved in providing consultancy advice to the same client;
ii. Legally separating the consultancy department from accounting/ auditing arm of the firm to preserve auditor's objectivity and independence; and iii. Ensuring that different members of staff and partners are responsible for different services provided to clients.

Answer to the Question# 1 (a) (iii):

M&J, Chartered Accountants and Baraka Group Limited
The points to note are as follows:
i. Potential threat of professional competence; ii. Due care; and iii. Lack of/or incomplete information A member invited to undertake recurring or non-recurring work, which is additional to and related to continuing work carried out by another chartered accountant or adviser should normally notify that other chartered accountant (ABC & Co) of the work he has been asked to undertake. It is generally in the interest of the client that the existing auditor be aware of the nature of the additional work being undertaken. The existing chartered accountant will be provided with the opportunity to communicate with the member to provide information, absence of which, might otherwise prevent the additional work from being carried out effectively. Additionally, such notification could affect the way an existing chartered accountant discharges his continuing responsibilities to his client. Notification should always be given to the existing chartered accountant. It should be noted that the application of accounting standards or principles clearly requires particular sensitivity to avoid adversarial positions between an auditor and other chartered accountants wherever possible.

Answer to the Question# 1 (a) (iv):

MK Chartered Accountants and Dunhill Limited

The points to note are as follows:

i. Objectivity threats; ii. Lack of independence; iii. Confidentiality threats; iv. Conflicts of interest; v. Advocacy threats; and vi. Self review threats

Advise to clients involved in take-over bids or share issues

Auditors are often asked to give advice. However, where clients are involved in a contested take-over bid, the auditors could find themselves in a position where they are potentially acting for both parties where the situation arises:

i. There is a danger that the firm cannot give objective professional advice in the best interest of both parties due to a possible lack of independence; and

ii. The firm may be in possession of confidential information relating to each party, with a risk that the information may inadvertently become available to the other party due to a possible breach of confidentiality. Guidelines in this area are as follows:

i. There is no reason, in principle, why firms should not act for both parties when a contested takeover bid occurs. However, a firm should not be the sole or main advisor to both parties;

ii. If the accountants are in possession of material confidential information and feel that their position in this respect is questionable, they should take advice from the appropriate financial regulatory authority for example, the stock exchange involved in the take-over or the national regulator of the financial market; and Conflicts of interest may arise in connection with issues of shares to the public because the accountants may be advising both the company issuing the shares and potential investors, such as companies interested in buying the shares.

Answer to the Question# 1 (b):

Only the logistics/distribution services segment meets the 10% quantitative threshold for a reportable segment. However, as it accounts for 55% of consolidated revenue, additional operating segments must be identified as reportable segments. The entity may conclude that the home-moving and commercial moving segments share majority of the aggregation criteria and decide to combine them to produce a reportable segment. However, that combined segment (accounting for 17% of consolidated revenue) and the logistics/distribution services segment together account for only 72% of consolidated revenue. Accordingly, it is necessary to designate another operating segment as a reportable segment so that at least 75% of consolidated revenue is included in reportable segments. It would be logical to designate the next largest operating segment, in this case parcels, but the entity may choose to report the van hire, document storage or refuse collection services segment in order to satisfy the 75% revenue threshold.

Answer to the Question# 1 (c):

The auditor shall determine, from the matters communicated with those charged with governance, those matters that required significant auditor attention in performing the audit. In making this determination, the auditor shall take into account the following:

1. Areas of higher assessed risk of material misstatement, or significant risks identified in accordance with ISA 315 (Revised).
2. Significant auditor judgments relating to areas in the financial statements that involved significant management judgment, including accounting estimates that have been identified as having high estimation uncertainty.
3. The effect on the audit of significant events or transactions that occurred during the period.

Answer to the Question# 2 (a) (i):

In an ideal situation, once an engagement is accepted, the audit firm should carry on doing whatever is necessary towards successful completion of the engagement. However, if it is sensed that successful completion is unlikely and if at all done forming a credible opinion might not be possible due to potential intimidating environment, the auditor may prefer withdrawing from the engagement. In that case following steps may be necessary:

- Holding clear discussion amongst partners of the firm bringing on table all necessary points underlying such hard decision
- If suitable, putting a note with the ICAB

- Communicating the logic behind the decision of withdrawal with those charged with the governance. While communicating, necessary reference of technical standards, ethical codes and other regulatory directives may be offered for their clear understanding
- If felt appropriate, taking a legal advice on the matter
- Returning all evidence collected so far to the client, if left in original copy with the firm
- Last, but not the least, withdrawing regulatory notice (Form-23B) given to the Registrar of Joint Stock Companies and Firms

Answer to the Question# 2 (a) (ii):

IESBA Codes of Ethics offer appropriate ethical guidance to its members across the globe. Similarly, there has been list of guidance applicable to a firm/professional accountant contemplating to accept a new engagement. The guidance item are:

- Determine whether acceptance would create any threat to compliance with the fundamental principles
- Determine potential threats to integrity and professional behavior due to the predominant influential attitude of the owners, management etc.
- Review if the client has/had involvement in illegal activities
- Evaluate the magnitude of the threats and apply suitable safeguard. If the threats are unlikely to be eliminated or reduced to an acceptable level, it is better declining to enter the relationship
- Periodically review acceptance decisions of recurring client engagements
- Accept only those engagements which professional accountant in practice is competent to perform
- Evaluate the significance of the threats and apply suitable safeguard to eliminate them or reduce to an acceptable level. Safeguards may include:
  - Acquiring sufficient knowledge of the industries and related activities.
  - Deploying adequate staff with due competencies
  - Using expert services wherever necessary
- In case of replacing or tendering for an engagement currently held by a professional accountant in public practice:
  - Determine if there is any reason for not accepting this offer
  - Communicate directly to the existing accountant
  - While communicating existing accountant the professional accountant in practice needs client's permission to do so

Answer to the Question# 2 (b):

The risk associated with Electronic Data Interchange (EDI) systems are as follows:

i. Lack of paper audit trail;
ii. An increased level of dependency on the computer systems of the organisation and possibly the computer systems of other entities. Any failure or control weakness in one computer system may have an impact on the computer system that is being audited;
iii. Risk of loss or corruption of data in the process of transmission; and
iv. Security risks in the transmission of data. Auditors should expect to find effective controls in place to minimise the risks inherent in EDI systems.

Typically, controls will cover such matters as:

i. Controls over the transmission of data, such as the encryption of data before transmission, acknowledgement systems and the use of authentication.
ii. Monitoring and checking of output;
iii. Virus protection systems; and
iv. Contingency plans and back-up arrangements.

Answer to the Question# 3 (a) (i):

The key planning document is called the overall audit strategy. However, in devising complete planning memorandum, there are certain critical requirements the auditor must bear in mind are:

Involvement of Key Engagement Team Members

- The engagement partner and other key members of the engagement team shall be involved in planning the audit, including planning and participating in the discussion among engagement team members.

Preliminary Engagement Activities

The auditor shall undertake the following activities at the beginning of the current audit engagement:

(a) Performing procedures required by ISA 220 regarding the continuance of the client relationship and the specific audit engagement;

(b) Evaluating compliance with relevant ethical requirements, including independence, in accordance with ISA 220

(c) Establishing an understanding of the terms of the engagement, as required by ISA 210.

Planning Activities

- The auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit, and that guides the development of the audit plan.
- In establishing the overall audit strategy, the auditor shall:
  (a) Identify the characteristics of the engagement that define its scope;
  (b) Ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required;
  (c) Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts;
  (d) Consider the results of preliminary engagement activities and, where applicable, whether knowledge gained on other engagements performed by the engagement partner for the entity is relevant; and
  (e) Ascertain the nature, timing and extent of resources necessary to perform the engagement.

Documentation

- The auditor shall include in the audit documentation:
  (a) The overall audit strategy;
  (b) The audit plan; and
  (c) Any significant changes made during the audit engagement to the overall audit strategy or the audit plan, and the reasons for such changes.

Answer to the Question# 3 (a) (ii):

The key to a successful and standard audit is understanding the entity and its environment. In order to understand the entity and its environment, three key words may take the lead are:

Why

It is important to understand the client's business:

- To be able to assess risk
- To be able to comply with auditing standards

How

Understanding of the client's business can be obtained from:

- External sources of information (industry surveys, publications etc.)
- The firm's permanent files, correspondence files, previous audited financial statements
- Client's personnel, manuals, correspondence, management accounts etc.

Auditors would carry out a combination of following procedures to understand the business:

- Inquiries of client personnel
- Analytical procedures
- Observation and inspection

What

- The environment under which the business is operated
- The industry, the business belongs to
- The governing laws and regulations

Answer to the Question# 3 (a) (iii):

From the facts described in the case, auditor has to focus on certain specific risk factors to make sure that the audit is concluded to satisfactory opinion. The factors are:

Management override

Auditors need to assess the risk of management override during the planning stage of the audit and to design appropriate audit procedures in response. Those procedures should include:

- Testing journal entries to ensure they are appropriate
- Review of accounting estimates to judge whether management bias has been applied
- Scrutinizing significant and unusual transactions

Journals

Fraudulent activities can be perpetrated by inappropriate or unauthorized journal entries, especially in organisations where internal controls are poor. Such entries may include:

- Entries made to unrelated, unusual or seldom-used accounts
- Journals made without accounts numbers
- Journals put through by individuals who do not normally make journal entries

Revenue recognition

Auditors should be aware of the risks of material misstatement due to incorrect revenue recognition. Such risk is even higher in organisations where management reward is linked to revenue or profit.

Answer to the Question# 3 (a) (iv):

There are extracts taken from the financial statements from two consecutive years which give some indications as regards operational performance as well as financial health of the company. In the given description, we see that the company had started facing competition from the traders as well as newly introduced brand shops. So, we may analyze financial information and see if there has been any indication of risk left for auditors to take note in their planning documents.

1. Revenue has increased by 1% while cost of goods sold has shoot up by 4% resulting in remarkable decrease in the gross profit.
2. Gross Profit margin has been dropped to 45% from the corresponding 47% in the year before.
3. Selling expense has been surprisingly increased by about 11% while administrative expense has gone up by about 8%. This may mean that company has been struggling to maintain their footage by the pressure of the competitors.
4. Receivable realization appears to have been slower resulting pressure on the cash flow. Company seems to have been facing challenge settling creditors dues in time.

The analyses above clearly indicate that the company has not been able to perform as it did in the last year and probably in the years before. Under such circumstances, management tends to present artificially rosy picture by manipulating figures in the financial statements. So, care must be taken while performing audit that management is more aware about formulating appropriate strategies to regain their lost market and sales growth rather than putting in effort to hide temporary failures.

Answer to the Question# 3 (b):

Due to inherent limitations (including human error/misunderstanding, collusion and override), an internal control system can only provide reasonable confidence that internal control objectives (including completeness, accuracy, and validity) are met.

1) Completeness

To ensure that all workers who should be paid are included in the payroll

- Payroll expense could be reconciled to production output records, and
- Management could review exception reports of employees having personnel records but not included on the payroll

However,

Cost/benefit

The expense of setting up of computerised personnel records ma outweigh the benefit to the company.

2) Accuracy

To prevent errors in payroll deductions:

- Calculations of PAYE can be checked prior to processing, and
- Non-statutory deductions should require prior authorisation in writing

However,

Human error/misunderstanding

Errors in deductions may not be detected, due to fatigue, distraction, misjudgment or misinterpretation

Non-routine transactions

Systematic checking procedures may be directed at routine deductions rather than non-routine transactions.

3) Validity

To ensure that employees are only paid for work done:

- Hours worked per time sheets can be approved by a departmental manager, and
- The duties of payroll preparation and payment should be segregated.

However,

Abuse or override

Authorisation could be given for a new employee to be added to the payroll without the proper checks being carried out by the authoriser.

Collusion

The person responsible for paying wages could collude with the person responsible for accounting for wages to perpetrate and conceal a theft of wages.

Answer to the Question# 4 (a):

While considering audit of allowance against receivable, the auditor should take following approaches:

- Review the requirements of the appropriate financial reporting framework for allowances for the receivables.
- Discuss with management how the allowance has been calculated.
- Obtain a breakdown of the allowance, agree balances to the receivables ledger and reperform calculations.
- Compare actual receivables written off in prior periods with previous estimates.
- Ascertain who is responsible for reviewing and approving the allowance.
- Obtain an aged listing of receivables as at the reporting date and identify overdue amounts and review correspondence relating to these accounts and arrive at an independent estimate of the allowance required.
- Compare this with management's estimate.
- Review cash received from the customers after the reporting date up to the date of the auditor's report to identify whether any receivables balances that appeared to be doubtful have subsequently been settled.

Answer to the Question# 4 (b):

Queries regarding:

- **Sales is understated** by Tk. 71,835, which needs to increase in the draft financial statements. Gross sales shall not below the total legitimate amount receipts and credited in the bank account.

Cash deposit at counter	Tk. 28,860
Cheque deposit	Tk. 43,750
EFTN local transfer from few corporate	Tk. 28,900
Food panda (Gross) (15,250/80%)	Tk. 20,325

	Tk. 121,835
Sales shown in draft financial statement	Tk. 50,000

	Tk. 71,835
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- **Payment of Lower Amount of VAT-** Since sales is understated, therefore OPL concealed payment of VAT on sale.
- **Money Laundering-** Unexplained credit or receipt in the bank account beyond the normal flow of business is a risky involvement in terms of money laundering.
- **GP Ratio-** Cost of sales is assumed 35% and GP ratio would be 65%.
- **Estimation of closing stock**- it must be counted and measured reliably at the end balance sheet date. No way of estimating the stock to record in the BS.
- **Ethical Issues-** It's the ethical duty to inform the regulators and ICAB about the fund movement in the business account, which does not substantiate with the ordinary course of business.

Answer to the Question# 5 (a):

A limitation on scope has arisen because the auditors were unable to perform procedures which would quantify the true figure. The amount involved in the case appears to be material but is not pervasive by nature. As a result, the audit report should be qualified with terminology 'except for'.

In accordance with the Companies Act, the auditor needs to report on certain matters by exception only. In this case the auditor will need to report that, in respect of the limitation on his work relating to opening inventories alone:

- He has not obtained all the information and explanations that he considered necessary for the purpose of his audit
- He was unable to determine whether proper accounting records had been maintained.

Answer to the Question# 5 (b) (i):

Though IESBA Code of Ethics for Professional Accountants in practice in silent about sub-contacting audit work, its auditor's responsibility to maintain confidentiality of client's information. Hence, before sub-contacting any part of the audit engagements, approval from client should be obtained. In addition, as KafeeCo has been appointed as the auditor by the client, the ultimate statutory responsibility of the audit lies with KafeeCo. As there are some unusual situations involved in these engagements with respect to sub-contacting the engagements as well as borrowing staffs, the auditor should keep eyes on the following ethical challenges:

Sub-contacting:

- The sub-contracted auditors might not perform their professional duties properly.
- Sun-contracted auditors might not be independent to client's affairs.

Borrowing staffs:

- Borrowed staff might not be independent to the client.
- Borrowed staff might not have the required qualification to conduct the audit.
- Borrowed staff might not perform their professional duties.
- Borrowed staff might not follow the methodology of the firm.
- Borrowed staff might maintain the client confidentiality.

Answer to the Question# 5 (b) (ii):

KafeeCo is the principal auditor who is responsible for issuing opinion on consolidated financial position. In the consolidated financial statements, all entities are considered. As KafeeCo is auditing only 5 companies out of 7, KafeeCo has to rely on 2 two external component auditors. As the entities that are being audited by separate auditors will be consolidated, KafeeCo needs to obtain sufficient assurance and evidence before expressing opinion on consolidated financial statements. KafeeCo should perform following procedures:

- Obtain list of entities that are not being audited by KafeeCo
- Send audit instructions to the component auditor mentioning the reporting and auditing frameworks to be followed and timeline of audit.
- Obtain independence confirmation from the component auditors.
- Hold planning meeting with component auditors
- Obtain the audit strategy of the component auditors
- Discuss with the component auditors regarding the important areas
- Obtain the corrected and uncorrected audit adjustments suggested by the component auditors
- Obtain the audit report and audited financial statements of the components
- Obtain the management letter issued by the component auditors.
- Review component auditors audit working papers
- Use component auditors' reports to identify consolidated adjustments

KafeeCo should perform above mentioned procedures to obtain comfort over entities not being audited by KafeeCo.

Answer to the Question# 5 (b) (iii):

KafeeCo should obtain following documents to express opinion on the consolidated financial statements:

- Independence confirmation from the component auditors
- Audit adjustments suggested by the component auditors
- Audit report and audited financial statements of the components
- Management letter issued by the component auditors
- Financial statements of all the entities being consolidated
- Details of consolidation adjustments
- Management representation for consolidated financial statements.

Answer to the Question# 5 (b) (iv):

If any of the component auditors expresses qualified opinion in the auditor's report, principal auditor should consider the effect of qualification in the current year financial statements. If the qualification of the component is material to the group, principal auditor shall issue a qualified report. However, if the component is not material to the group, principal auditor shall consider whether the qualification has material effect on consolidation. If there is insignificant impact, principal auditor shall not issue any qualified audit opinion. However, an emphasis of matter should be given in the audit report about the opinion expressed by the component auditors.

Answer to the Question# 5 (c):

Assurance provider's report on profit forecast:

This is a negative form of report which bears limited assurance.

How it differs

- Audit provides relatively high-level assurance however that is absolute one rather regarded as reasonable assurance
- Opinion expressed in positive terms:
  Gives true or view opinion or a suitable modified opinion, as the case may be in accordance with ISA and Companies Act

Why it differs

- Financial statements are based on fact as well as judgements
- Persuasive evidence available
- As opposed to statutory audit, scope of work on forecast is limited as forecast are based on assumptions about the future and are as such subject to uncertainty.

---The End---